

F&O LEAVES CASH BEHIND

- ▶ The F&O market turnover dwarfs cash market turnover
- ▶ The ratio of F&O turnover (premium) to cash turnover is 2.2x
- ▶ The ratio of F&O turnover (notional) to cash turnover is 367.8x

TURNOVER YEAR	TOTAL F&O TURNOVER*	NOTIONAL TURNOVER	CASH MARKET TURNOVER
● FY18	210	1,650	83
● FY19	225	2,376	87
● FY20	228	344	97
● FY21	303	6,436	164
● FY22	363	1,695	179
● FY23	405	38,223	143
● FY24	481	79,927	217

NOTE FIGURES IN ₹ LAKH CRORE; *WITH PREMIUM; NOTIONAL TURNOVER IS FOR F&O; **SOURCE** SEBI



GURPREET SIDANA
CEO, RELIGARE
BROKING LTD

“Instead of using F&O for hedging, people are taking naked positions... if a trader has no underlying position and is just speculating on any particular contract... there is no actual hedging happening”



VAIBHAV SANGHAVI
CEO, ASK HEDGE
SOLUTIONS

“The government has to act tactfully without impacting the liquidity... while STT addresses one part [of the problem], effective margining and imposing MTM settlements on a daily basis can further aid [investors]”

“Suddenly, impact costs might increase, and even long-only, long-term funds might see reduced returns or lower activity due to the increased market impact,” he explains.

In a social media post on X, Zerodha’s Founder and Chief Executive Officer Nithin Kamath said that the suggested changes, even with the increase in STT, won’t change options volumes. “But on the flip side, they will reduce futures volumes,” he posted.

Currently, NSE is the leader in the F&O market. The proposal for one weekly contract per week per exchange is likely to push volumes to BSE and GIFT City. Experts say these volumes could also shift to stock options.

Finally, the government gets ₹60,000 crore-plus in annual tax, with zero cost of collection, zero leakage, zero non-compliance, and zero administrative cost. “It is almost 2.5% of direct tax collections,” says Modi. Experts say the government is unlikely to impose restrictions that could harm tax revenues.

Experts suggest that India aims to be a developed country, and resources, capital and development will come with free markets, not constrained ones. “The more you constrain, the less likely you are to become a developed nation,” reasons Modi. The task of taming the F&O menace is not only in the hands of authorities and market bodies, but also with those retail traders who have not experienced the market’s harsh realities yet. Much like how addiction drives the cigarette industry, the F&O menace needs to be understood by investors.

“We as stockbrokers, exchanges, or regulators are not supposed to be in the business of managing an individual’s greed and fear. All we can do is make aggressive awareness about the risk in the product,” advises Modi. Clearly, the dangers of ignoring warnings and lacking self-control are substantial. The ball is now in Sebi’s court. **BT**

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